

ETHIOPIA

Table 1 **2019**

Population, million	110.1
GDP, current US\$ billion	95.7
GDP per capita, current US\$	869.0
International poverty rate (\$ 19) ^a	32.6
Lower middle-income poverty rate (\$3.2) ^a	70.5
Upper middle-income poverty rate (\$5.5) ^a	90.7
Gini index ^a	35.0
School enrollment, primary (% gross) ^b	100.0
Life expectancy at birth, years ^b	66.2

Source: WDI, Macro Poverty Outlook, and official data.
Notes:

(a) Most recent value (2015), 2011 PPPs.

(b) WDI for School enrollment (2015); Life expectancy (2018)

The COVID-19 crisis has hit Ethiopia through both external and internal channels. Merchandise exports growth turned negative when the pandemic started to hit and FDI declined in FY20. In recent surveys, households and firms declared to be facing substantial income losses. Accommodative monetary and fiscal policies have been adopted to help mitigate the impacts, but coverage is limited and the effects of the COVID-19 pandemic on household welfare are expected to be severe. Growth is expected to sharply slowdown in FY20 and FY21.

Key conditions and challenges

Ethiopia has been among the fastest growing countries in the world, with GDP expanding at an average rate of 10.3 percent during 2004-2019. The main driver of growth has been capital accumulation, mostly large-scale public investment in infrastructure. While poverty declined by about 10 percentage points during 2004-2016, gains are modest when compared to other countries, and there is evidence that rural dwellers and the poorest have not benefited from growth in recent years.

The limitations of the state-led development model in Ethiopia have become apparent. Structural transformation remains incipient, and the role of the private sector is constrained by SOE dominance and an uneven playing field. Maturity mismatches in the financing of the large capital investments coupled with a loss in competitiveness caused by an overvalued exchange rate have put the economy at high risk of debt distress. Acknowledging these shortcomings, authorities launched in September 2019 a Homegrown Economic Reform Agenda, aiming at fostering efficiency and introducing competition in key growth-enabling sectors (energy, logistics, telecom), improving the business climate, and addressing macroeconomic imbalances.

The COVID-19 crisis poses formidable challenges for the people and the economy of Ethiopia. If the number of infections in Ethiopia continues to rise exponentially

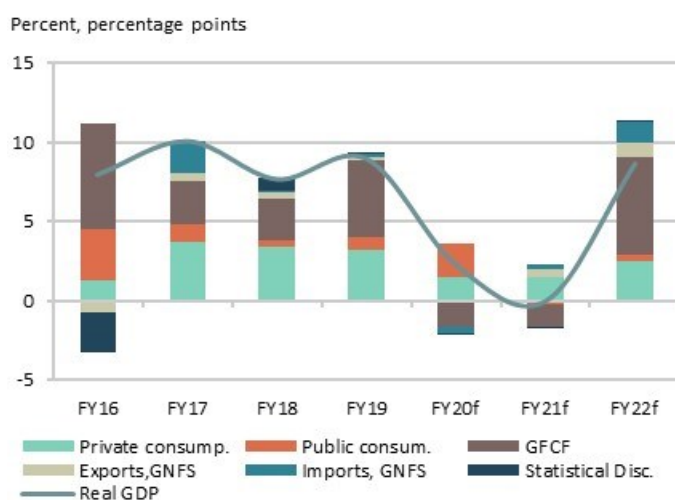
and a need for additional restrictive containment measures arises, it would further hinder production and have an impact on household consumption. The desert locust invasion could affect crop production in FY21, threatening food security. Progress in poverty reduction is likely to come to a halt, and there is risk that poverty could increase, given the high levels of vulnerability against shocks such as the one induced by COVID-19: between 2012 and 2016, close to half of the population in rural areas and small towns experienced at least one spell of poverty (meaning that they were below the poverty line at some point during this period).

Recent developments

Due to COVID-19 containment measures, as well as the weakening of household income and demand, the growth estimate for FY20 has been reduced to 2.3 percent. While agriculture has held up well, thanks to 6.2 percent growth in main harvest production, industry and services have reportedly been severely affected.

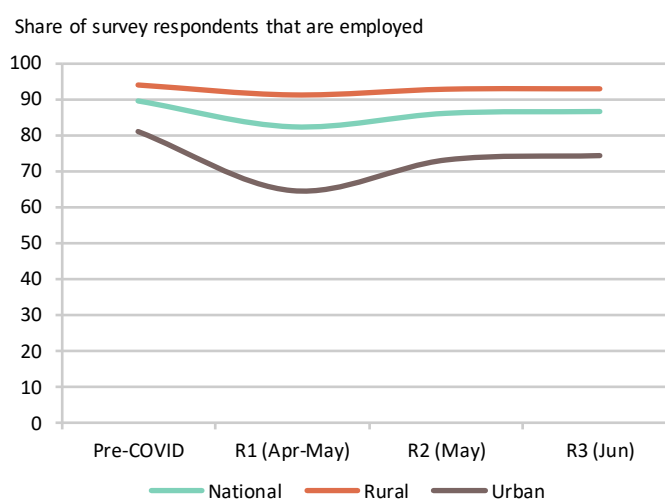
While the current account deficit narrowed due to declining imports, the external shock has affected exports, remittances, and FDI. While merchandise export value grew by 12 percent (yoy) in FY20, this is the result of the pre-COVID-19 performance, as exports of goods have dipped in recent months. Meanwhile, private transfers and FDI declined by 10.2 percent and 19.8 percent during FY20.

FIGURE 1 Ethiopia / Real GDP growth and contributions to real GDP growth



Sources: Ethiopian authorities and WB staff forecasts.

FIGURE 2 Ethiopia / COVID-19 impact on jobs



Source: HFPS-HH.

Driven by food prices, annual inflation continued trending up, reaching 24.6 percent in July 2020 compared to 21.6 percent in June. During FY20 the Birr depreciated by about 20 percent against the dollar (compared to 6 percent in previous years), but the real exchange rate started to appreciate again in January 2020, against the backdrop of high inflation.

Monetary and fiscal policies have relaxed to provide liquidity and finance needed expenses. Reserve money grew by 22.8 percent in FY20, against a pre-COVID-19 target of 12.5. Credit growth eased to 20.3 percent in FY20, compared to 26 percent in FY19.

Tax revenue is estimated to have declined from 10 percent of GDP in FY19 to 8.6 percent of GDP in FY20, as collections of corporate income tax and VAT, among others, falter. Meanwhile, recurrent expenditure increased by more than a percentage point of GDP, driven by the increase in COVID-19 related expenses (including healthcare and food security, which is a challenge in Ethiopia and could be exacerbated by the crisis). The COVID-19 pandemic has had severe economic impacts, resulting from reduced employment and income. According to recent surveys, more than half of the households reported in April that their incomes were either reduced or had totally disappeared. Employment rates plunged in

the early days of the pandemic—with 14 percent of respondents losing their job at the beginning of the outbreak—particularly those who were self-employed or working as casual labor, and in urban areas. The share of respondents who lost their job was highest in the hospitality sector, construction, and wholesale and retail trade sectors.

Outlook

Growth would stall in FY21 as the number of cases continues to accelerate during the first quarter of the year (July–September 2020) and global recovery remains uncertain. Continued import compression and favorable terms of trade are expected to contain the current account deficit in FY21, even as remittances fall further. Exports, remittances and foreign investment are expected to recover over the medium term. Inflation is expected to remain in double figures in FY21 against a backdrop of high food inflation, while trending down in the medium term as a tighter macroeconomic stance is implemented once the pandemic abates. Following an expansion in FY20 due to the COVID-19 response, the deficit is expected to be reduced in FY21.

The effects of the COVID-19 pandemic on livelihoods are expected to be severe. Household incomes, as shown by the high-frequency phone surveys, are impacted through a reduction in aggregate demand with reductions in income disproportionately concentrated among low-income households. While COVID-19-induced layoffs are relatively small in the public sector, the private sector has shed jobs with those working on temporary contracts or casual work particularly affected. Results from the phone survey of firms show that COVID-19 and related containment measures have substantially impacted firms' operations. With formal firms not hiring, a reduction in aggregate demand will also affect the self-employed. Casual laborers and self-employed (44 percent of urban households) are hit particularly hard with an expected downturn of the economy. Moreover, reduced fiscal space will put pressure on the provision of social services during and after the economic downturn, potentially having detrimental long-term effects on the poor.

TABLE 2 Ethiopia / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2016/17	2017/18	2018/19	2019/20 e	2020/21 f	2021/22 f
Real GDP growth, at constant market prices	10.1	7.7	9.0	2.3	0.0	8.7
Private Consumption	5.6	5.3	5.1	2.5	2.5	4.0
Government Consumption	8.3	3.6	7.2	17.9	-1.3	2.9
Gross Fixed Capital Investment	6.9	6.8	12.4	-4.1	-4.0	17.2
Exports, Goods and Services	6.1	5.0	3.0	-0.7	7.0	12.0
Imports, Goods and Services	-7.5	0.2	0.6	-2.0	1.7	7.0
Real GDP growth, at constant factor prices	10.2	7.7	9.0	2.3	0.0	8.7
Agriculture	6.7	3.5	3.8	5.0	4.0	4.0
Industry	18.7	12.2	11.5	3.0	3.5	9.0
Services	8.6	8.7	12.0	-0.5	-5.9	13.1
Inflation (Consumer Price Index)	7.3	14.5	12.5	19.9	16.7	8.4
Current Account Balance (% of GDP)	-8.3	-6.2	-5.1	-4.0	-4.2	-3.2
Fiscal Balance (% of GDP)	-3.3	-2.9	-2.5	-3.5	-3.1	-1.9
Debt (% of GDP)	58.9	55.3	52.7	51.1	51.1	49.1
Primary Balance (% of GDP)	-2.8	-2.4	-2.0	-3.0	-2.3	-1.1
International poverty rate (\$1.9 in 2011 PPP)^{a,b}	30.0	29.0	27.8	27.7	27.5	26.4
Lower middle-income poverty rate (\$3.2 in 2011 PPP)^{a,b}	67.9	66.9	65.6	65.5	65.2	64.1
Upper middle-income poverty rate (\$5.5 in 2011 PPP)^{a,b}	87.4	86.1	84.5	84.3	84.0	82.5

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices.

Notes: e = estimate, f = forecast.

(a) Calculations based on 2010-HICES and 2015-HICES and fiscal year growth rates. Actual data: 2015. Nowcast: 2016-2019. Forecast are from 2020 to 2022.

(b) Projection using point to point elasticity at regional level with pass-through = 0.87 based on GDP per capita in constant LCU.